Melbourne Established-House Buying Summary

Prepared for a parent-facing property-buying decision • 28 October 2026 • General research, not financial advice

This summary focuses on established detached houses in Melbourne, particularly family-oriented houses with a target purchase price below approximately $1.5 million. Units, apartments and new builds are mentioned only where they materially affect the house-market outlook. Ownership, title, duty and concession issues are being assessed separately and should not affect the market-timing conclusion.

1. Executive summary

Do not rush, but remain search-ready. Current evidence points to further Melbourne house-price weakness into the first half of 2027, with a plausible trough around mid-2027.

A November rate rise is now the base case. Hotter-than-expected inflation increased market probability of a 3 November increase; this would reduce borrowing capacity and likely extend the correction.

Use the next several months to refine the search. Inspect properties, monitor settled sales, shortlist streets and house types, and be ready to act only for a genuinely suitable property.

Expect more negotiating room, especially above $1.2 million. Mordialloc and Wheelers Hill are the most exposed current shortlist suburbs because they are higher priced and already show softer momentum.

Lower-priced suburbs are more resilient, not immune. Frankston, Springvale and Endeavour Hills have stronger recent momentum, but can still slow in a city-wide rate-driven downturn.

Anchor offers to recent settled sales. Asking prices and older medians can overstate current value in a falling market.

Set a conservative repayment ceiling now. Test affordability at least 2–3 percentage points above the expected mortgage rate.

Wait if the right house is unavailable; act selectively for a scarce, suitable house. A merely acceptable house does not justify buying before a likely trough.

2. Current Melbourne house-market snapshot

Indicator	Latest value	Trend	Data current to	Source
Melbourne established-house median	$960,000	–0.2% month; –6.2% year; –6.6% from peak	September 2026	PropTrack/REA
Melbourne house median, quarterly basis	$1,014,335	–3.3% quarter; –4.7% year	September quarter 2026	Domain
Auction clearance	54.8%	Weak-to-balanced; 831 auctions	Week ending 25 October 2026	Cotality reporting
Victorian private-sale days on market	48 days	Still slow	September 2026	REIV
Vendor discounting	3.9% median, capitals	Wider than 3.2% a year earlier	Three months to July 2026	Cotality proxy
Melbourne total listings	Approximately level year on year	Fewer new listings, slower absorption	September 2026	PropTrack/REA
Rental vacancy	1.9%	Still tight, though looser than earlier in 2026	September 2026	SQM Research
Melbourne asking rents	$692/week combined	+5.7% annually	September 2026	SQM Research

3. Single most-likely forecast: NAB-consistent path

The single most likely forecast is based on NAB's October 2026 view: Melbourne house prices continue declining into the first half of 2027, reach a trough around Q2 2027, then stabilise before a gradual recovery. NAB expects a Melbourne peak-to-trough decline of about 11%. Because Melbourne house prices were already about 6%–7% below peak in September/October 2026, the remaining decline from a $1.5 million baseline is estimated at about 4%–5%.

Date	Forecast stage	Hypothetical $1.5m house	Change from today
28 October 2026	Current baseline	$1,500,000	—

Date	Forecast stage	Hypothetical $1.5m house	Change from today
Late January 2027	Continued soft conditions after likely November rate rise	$1,470,000	–2.0%
Late April 2027	Further weakness as borrowing constraints flow through	$1,440,000	–4.0%
June 2027	Forecast trough	$1,425,000–$1,440,000	–4.0% to –5.0%
Late October 2027	Stabilisation; limited recovery at best	$1,425,000–$1,455,000	–3.0% to –5.0%
Late October 2028	Gradual recovery, assuming inflation eases and rates eventually fall	$1,455,000–$1,500,000	–3.0% to 0%

4. What the forecast means for a $1.5 million house

Most likely trough: around June 2027.

Most likely trough price: about $1,425,000–$1,440,000 for a house worth $1.5 million today.

Most likely saving from waiting until the trough: about $60,000–$75,000.

Main downside risk: further rate rises, weaker employment or rising mortgage stress could make the trough later and deeper.

Main upside risk: rapid inflation improvement and rate cuts could bring stabilisation forward.

Waiting is not automatically better: rent, moving costs, rent increases and the risk of missing a suitable property reduce the net benefit.

Rent-offset illustration

If renting a comparable family house costs $800 per week, renting for eight months costs about $27,700. That reduces the effective benefit of waiting for a $60,000–$75,000 forecast price decline to roughly $32,300–$47,300, before moving costs, rent increases, deposit interest and the risk that a suitable property does not appear at the trough.

5. Suburb priorities

Priority	Suburb	Why target it now	Buying approach
1	Frankston	Strongest recent momentum: $860,000 house median, +9.6% annually, flat over three months; beach, reserves, hospital and train access.	Monitor actively; act for a well-located, sound house at recent comparable-sale value.
2	Endeavour Hills	Best “both” option: $853,000 house median, +5.3% annually, 278 annual sales, strong nature access.	High-conviction suburb; be selective but move for a suitable low-maintenance house near recent sales.
3	Springvale	Resilient momentum: $924,000 house median, +6.2% annually, only 13 active listings; strong community infrastructure.	Target only for a genuinely suitable long-term house; nature access is limited.
4	Seaford	Good balance of affordability, coastal amenity and family appeal: $885,000 house median, +4.7% annually.	Strong secondary target; negotiate from recent settled sales.
5	Keysborough	Reasonable family and community access, but ample choice: $960,000 median, +3.2% annually, 25 active listings.	Target a well-located, well-configured house; otherwise monitor.
6	Clayton South	Flat momentum: $982,500 median, +0.3% annually; limited green space.	Opportunistic only for a specific, well-priced property.
7	Mordialloc	Strong amenity but soft market: $1,252,500 median, –9.1% annually; Jellis Craig reports –2.88% quarterly.	Only for an exceptional, correctly priced house; otherwise wait.
8	Wheelers Hill	Excellent family access and Jells Park, but $1,455,000 median is near the cap and prices have fallen recently.	Only for an exceptional house with a clear discount; otherwise wait.

6. Practical buying rules

Wait or negotiate harder now for generic houses, overpriced listings, or properties in Mordialloc and Wheelers Hill.

Act selectively before the trough only for a scarce, genuinely suitable house priced at or below recent settled comparable sales—particularly in Frankston, Endeavour Hills, Seaford or Springvale.

Use a 60–90 day settled-sales baseline. Adjust for condition, land size, layout, location and any known defects.

Do not pay for momentum or scarcity unless supported by recent comparable sales and limited substitute stock.

Reassess after the 3 November RBA decision and again after summer listing and clearance data.

Maintain finance readiness but do not borrow to the lender's maximum.

7. Monitoring dashboard

Indicator	Where to check	Frequency	Change favouring waiting	Change favouring acting
RBA cash rate	RBA	Each meeting	Further increase or hawkish guidance	Clear peak and easing guidance
Melbourne house index	Cotality, PropTrack	Monthly	Three-month fall exceeds 3%	Monthly falls flatten for 2–3 months
Target-suburb settled sales	REA, Domain, agent SOIs	Fortnightly	Comparables repeatedly reset lower	Good houses begin selling above recent comparables
Auction clearance	Cotality, REIV, Domain	Weekly / 4-week average	Below 50%	Sustained above 60%
Active listings	REA, Domain, local agents	Fortnightly	More suitable stock and longer selling times	Stock falls while demand holds
Days on market	REIV, Cotality	Monthly	Above 50 days and rising	Below 35 days
Vendor discounting	Cotality, agent data	Monthly	Above 5%	Below 3%
Rental vacancy	SQM Research	Monthly	Above 2.5%	Below 2%
Mortgage arrears	APRA	Quarterly	Non-performing loans rise materially	Arrears remain stable

8. Source log

Source	Publication / data date	URL	Type
PropTrack/REA Home Price Report	1 October 2026; September data	https://www.realestate.com.au/insights/realestate-com-au-home-price-report-september-2026/	Agency research
Domain House Price Report	22 October 2026; September quarter	https://www.domain.com.au/research/house-price-report/september-2026/	Agency research
Cotality Home Value Index	September 2026; data to 31 August	https://discover.cotality.com/hubfs/Article-Reports/COTALITY%20HVI%20SEP%202026%20FINAL%20(1).pdf	Agency research
REIV Research Bulletin	September 2026	https://reiv.com.au/market-insights/member-resources/research-bulletin	Industry data
SQM Research	September 2026 / week ending 27 October 2026	https://sqmresearch.com.au/property	Agency research
RBA cash rate and inflation commentary	28 October 2026	https://www.rba.gov.au/	Primary government data
RBA Statement on Monetary Policy	10 August 2026	https://www.rba.gov.au/publications/smp/2026/aug/outlook.html	Central-bank forecast
APRA property exposures	June quarter 2026; released 16 September 2026	https://www.apra.gov.au/quarterly-authorised-deposit-taking-institution-property-exposure-statistics-june-2026-highlights	Primary regulatory data
NAB Housing Monitor	7 October 2026	https://www.nab.com.au/news/housing/nab-housing-monitor-september-2026	Bank forecast
CBA housing outlook	31 August 2026	https://www.commbank.com.au/articles/newsroom/2026/09/housing-correction-deepens-commbank-economists.html	Bank forecast
Westpac housing forecast	8 September 2026	https://www.westpac.com.au/news/making-news/2026/09/westpac-tips-november-rate-hike-updates-housing-forecast/	Bank forecast

Source	Publication / data date	URL	Type
ANZ property focus	26 October 2026 reporting	https://www.thepost.co.nz/business/361101064/we-think-theres-new-norm-where-housing-market-heading-election	Bank forecast via reporting
KPMG Residential Property Outlook	August 2026	https://assets.kpmg.com/content/dam/kpmgsites/au/pdf/2026/kpmg-residential-property-market-outlook-august-2026.pdf.coredownload.inline.pdf	Economic consultancy forecast
Parents Melbourne Move suburb shortlist	Read 28 October 2026	https://github.com/okgoogle13/parents-melbourne-move/blob/main/Suburb%20shortlist%20foundation%20report.md	Project research
PropTrack suburb profiles	19–26 October 2026	https://www.property.com.au/vic/frankston-3199/ and linked suburb pages	Agency data
Jellis Craig suburb reports	1 October / 6 September 2026	https://helpers.jelliscraig.com.au/suburbreportsdownloads/Mordialloc_Suburb_Reports_Oct_2026.pdf	Agency report

Bottom line: remain patient and negotiate firmly, but do not rule out buying a genuinely suitable established house below $1.5 million if it can be secured at a discount to recent comparable sales and repayments remain comfortable under a higher-rate scenario.